25NNCV07435 25NNCV07435

County: los-angeles

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Case Number: 25NNCV07435 Hearing Date: July 17, 2026 Dept: B

Hon. Victor Avila, Dept B

MOTION TO COMPEL ARBITRATION

Hearing Date: 7/17/26

CASE NO./NAME: 25NNCV07435
Luis Alberto Lopez v. Mercedes-Benz USA, LLC et al.

Moving Party: Defendant
Mercedes-Benz USA, LLC

Responding Party: Plaintiff Luis Alberto Lopez

Notice: Sufficient

Ruling: DENY

NOTICE

The
Court is not requesting oral argument on this matter. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is requested and any party seeking argument should notify all other parties and the court by 4:00 p.m. on the court day before the hearing of the party's intention to appear and argue. The tentative ruling will become the ruling of the court if no argument is received.

Notice
may be given either by email at or by telephone at (818) 260-8422.

BACKGROUND

This is a lemon law case. On November 24, 2023, plaintiff Luis Alberto Lopez (Plaintiff) leased a 2024 Mercedes-Benz CLA250C (Vehicle) from the dealership Calstar Motors Inc. (Dealership). On October 21, 2025, Plaintiff filed the operative Complaint against Mercedez-Benz USA, LLC (Defendant) alleging two causes of action for (1) Violation of Song-Beverly Act – Breach of Express Warranty and (2) Violation of Song-Beverly Act – Breach of Implied Warranty.

On February 6, 2026, Defendant filed the instant motion to compel arbitration and stay action. Plaintiff filed an opposition on July 2, 2026. Defendant filed a reply on July 10, 2026.

REQUEST FOR JUDICIAL NOTICE

Defendant requests judicial notice of Exhibit: (1) Plaintiff's Complaint (filed October 21, 2025). The request is granted. (Evid. Code, § 452(d).)

Plaintiff requests judicial notice of Exhibits: (1) the Appellate Court's opinion in Martha Ochoa v. Ford Motor Company (2023) 89 Cal.App.5th 1324; (2) the Appellate Court's opinion in Mark Kielar v. Hyundai Motor America (Case No. C096773; Superior Court No. S-CV-0048230); and (3) the Ninth Circuit's opinion in Ngo v. BMW of North America, LLC et al., (9th Cir. 2022) 23 F.4th 942. The request is granted. (Evid. Code, § 452(d).)

EVIDENTIARY OBJECTIONS

Plaintiff submits two (2) evidentiary objections to Defendant's evidence – Declaration of Ali Ameripour filed in support of the Defendant's demurrer.

Overruled: Nos. 1-2

Sustained: None

LEGAL
STANDARD

Parties may be compelled to arbitrate a dispute upon the court finding that: (1) there was a valid agreement to arbitrate between the parties; and (2) said agreement covers the controversy or controversies in the parties' dispute.¿ (Code Civ. Proc., § 1281.2; Omar v. Ralphs Grocery Co. (2004)¿118 Cal.App.4th 955, 961.)

DISCUSSION

Written Arbitration Agreement Between
Parties Exists

Under both the Federal Arbitration Act and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code of Civ. Proc. § 1281.2.) This is usually done by presenting a copy of the signed, written agreement to the court. "A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim, or a copy must be physically or electronically attached to the petition and incorporated by reference". (Cal. Rules of Court, rule 3.1330.) The moving party must also establish the other party's refusal to arbitrate the controversy. (Code of Civ. Proc. § 1281.2.) The filing of a lawsuit against the moving party for a controversy clearly within the scope of the arbitration agreement affirmatively establishes the other party's refusal to arbitrate the controversy. (Hyundai Amco America, Inc. v. S3H, Inc. (2014) 232 Cal.App.4th 572, 577.)

Defendant argues

that they have established an arbitration agreement exists by providing a copy of the lease agreement containing the arbitration provisions. (Mot., p. 3.) Plaintiff does not dispute the existence of an arbitration agreement; however, Plaintiff argues that Defendant is not a contracting party to the agreement and therefore lacks any privity with Plaintiff. (Opp., p. 6.)

Here, the lease agreement provided by Defendant contains a clearly identified arbitration clause labeled "Important Arbitration Disclosures". (Ameripour Decl., Exh. 2, p. 4.) The signature page also stipulates that the Lessee, Plaintiff, acknowledges they have "received and read all 10 pages of [the] lease carefully and agree to all of its terms, INCLUDING THE IMPORTANT ARBITRATION DISCLOSURES ON PAGE 4 AND 5" (Ameripour Decl., Exh. 2, p. 6.) The Court notes that the signature page features a dated electronic signature by Plaintiff. (Ibid.) The arbitration clause itself lists Defendant as a "Third-Party Beneficiary". (Ameripour Decl., Exh. 2, p. 4.) The clause further states that "any claim or dispute, whether in contract, tort or otherwise…between you and us…or the vehicle distributor, including Mercedes-Benz USA LLC (each a "Third Party Beneficiary"), which arises out of or relates to…this lease, or any resulting transaction or relationship arising out of this lease…shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action". (Ibid.) Neither party disputes that the arbitration agreement in the lease agreement is governed by the Federal Arbitration Act (FAA). (Ibid.)

Accordingly, the Court finds that Defendant has established the existence of an arbitration agreement.

Arbitration Agreement Enforcement as Intended Third-Party Beneficiary

In ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.) A petition to compel arbitration is a suit in equity to compel specific performance of a contract. (Frog Creek Partners, LLC. v. Vance Brown, Inc. (2012) 206 Cal.App.4th 515, 532.). Arbitration is a matter of contract, and a party cannot be required to arbitrate a dispute he has not agreed to submit. (Villacreses v. Molinari (2005) 132 Cal.App.4th 1223, 1230.)

Defendant argues
that they are an intended third-party beneficiary to the agreement and can enforce it pursuant to the clause which identifies them as a Third-Party Beneficiary. (Motion, p. 5; see also Ameripour Decl., Exh. 2, p. 4.)

Plaintiff argues
that Defendant mistakenly relies on an equitable estoppel theory to create standing for them to enforce the arbitration agreement found in the lease. (Opp., p. 4.) Plaintiff argues that Defendant's
argument is flawed because Plaintiff is not attempting to enforce the lease with the Dealership against Defendant, since Defendant is not a signatory, and they cannot be forced to arbitrate with a non-signatory. (Opp. pp. 4-5.) Further, Plaintiff argues that their Complaint does not reference or rely on the lease whatsoever, Plaintiff instead relies on statutory obligations of manufacturers found in the song Beverly Act. (Opp., p. 6.) Moreover, Plaintiff argues that Defendant cannot show that they are a valid Third-Party Beneficiary because Defendant cannot establish the Goonewardene factors consistent with the three-prong test adopted by the California Supreme Court. (Opp., pp. 9-14.)

In reply,
Defendant reiterates that they are a named and intended third-party beneficiary with the ability to enforce arbitration. (Reply, p. 1.) Further, Defendant argues that they satisfy the Goonewardene factors because a Federal Court has concluded that "MBUSA is entitled to compel [Plaintiff's] claims against it to arbitration". (Reply, p. 3; Durkin v. Mercedes-Benz USA LLC (N.D.Cal. July 15, 2025, No. 25-cv-03064-WHO) 2025 U.S.Dist.LEXIS 134943, at *6.) It is worth noting that decisions of federal courts in matters of state law are not binding on state courts, they may only serve persuasive purposes. (Brakke v. Economic Concepts, Inc. (2013) 213 Cal.App.4th 761, 770.)

Here, Defendant
is a named Third-Party Beneficiary to the arbitration agreement, where power to enforce the provision is explicitly provided to Third-Party Beneficiaries. (Ameripour Decl., Exh. 2, p. 4.) However, the Court finds that Defendant does not satisfy the standards set for establishing status as a Third-Party Beneficiary set forth in Goonewardene.

Under Goonewardene, a non-signatory must establish they are a valid third-party beneficiary by satisfying the following factors established by the California Supreme Court: (1) whether the third party would in fact benefit from the contract, but also (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.)

On the first prong, while Defendant would certainly benefit from an arbitration clause, Defendant does not benefit from the sales contract between Plaintiff and the Dealership. The purpose of the contract which contains the arbitration clause is to lease a vehicle, the Dealership benefits from that sale. (See generally Ameripour Decl., Exh. 2.) Moreover, the financial beneficiary of payments on the lease is Mercedes-Benz Financial Services, not Defendant, as they are separate entities. (Ameripour Decl., Exh. 2, p. 2.) In either case, Defendant does not benefit from the contract.

On the second prong, the motivation of the parties to the contract was to lease a vehicle, not to minimize litigation costs of a non-signatory. The Court in Ford Motor similarly rejected the argument that the arbitration clause was an objective of the sales contract. (Ford Motor Warranty Cases (2025) 89 Cal.App.5th 1324, 1338-1339.) ("The manifest intent of the parties was to buy, sell and finance a car.")

Since Defendant cannot satisfy two of three prongs, Defendant cannot satisfy all the Goonewardene factors and does not have standing as a Third-Party Beneficiary to move for enforcement of the valid arbitration agreement.

Additionally, although Defendant is named as a Third-Party Beneficiary who may elect to arbitrate an issue, they are not a signatory. A non-signatory may compel arbitration only "when the causes of action against the non-signatory are intimately founded in and intertwined with the underlying contractual obligations". (Goldman v. KPMG, LLP (2009) 173 Cal.App.4th 209, 217-218;

Opp., p. 4.) Here, Plaintiff is pursuing action against Defendant pursuant to the Song-Beverly Act, not any contractual obligations imposed by the lease. The Court in Ford Motor similarly found that plaintiff's claims under the Song-Beverly Act were not founded or intertwined with the contract because "the substantive terms of the sale contracts relate to sale and financing and nothing more". (Ford Motor Warranty Cases, supra, 89 Cal.App.5th at1335.)

Accordingly, Defendant's motion to compel arbitration is DENIED

Stay of Proceedings

Under 9 U.S.C. § 3, when a court finds that a dispute is subject to arbitration and a party requests a stay, the court "shall" stay the action until arbitration has been completed. California law is in accord. (Code Civ. Proc., §§ 1281.2, 1281.4.)

Defendant's request to stay the proceeding is DENIED because the motion to compel arbitration is denied.

CONCLUSION AND ORDER

Defendant Mercedez-Benz USA, LLC's motion to compel arbitration and stay proceedings is DENIED.

Defendant Mercedez-Benz USA, LLC shall provide notice of this order.